

the City of New York. Obviously it was essential to provide through a sinking fund for the retirement of the entire issue by the time the lease expired in 1967, since the corporation would then be deprived of most of its assets and earning power. Similarly with Tobacco Products 6¹/₂s, due in 1922, which depended for their value entirely upon the annual payments of \$2,500,000 made by American Tobacco Company under a lease expiring in 1922.

The absence of a sinking fund under conditions of this kind invariably leads to trouble.

Examples: Federal Mining and Smelting Company supplied the unusual spectacle of a mining enterprise with a large preferred-stock issue (\$12,000,000); and furthermore the preferred stock had no sinking fund. Declaration of a \$10 dividend on the common in 1926 led to court action to protect the preferred stock against the threatened breakdown of its position through depletion of the mines coupled with the distribution of cash earnings to the junior shares. As a result of the litigation the company refrained from further common dividends until 1937 and devoted its surplus profits to reducing the preferred issue, which was completely retired in 1939.

Iron Steamboat Company General Mortgage 4s, due 1932, had no sinking fund, although the boats on which they were a lien were obviously subject to a constant loss in value. These bonds to the amount of \$500,000 were issued in 1902 and were a second lien on the entire property of the company (consisting mainly of seven small steamboats operating between New York City and Coney Island), junior to \$100,000 of first-mortgage bonds. During the years 1909 to 1925, inclusive, the company paid dividends on the common stock aggregating in excess of \$700,000 and by 1922 had retired all of the first-mortgage bonds through the operation of the sinking fund for that issue. At this point the 4s, due 1932, became a first lien upon the entire property. In 1932, when the company went into bankruptcy, the entire issue was still outstanding. The mortgaged property was sold at auction in February 1933 for \$15,050, a figure resulting in payment of less than 1 cent on the dollar to the bondholders. An adequate sinking fund might have retired the entire issue out of the earnings which were distributed to the stockholders.

When the enterprise may be regarded as permanent, the absence of a sinking fund does not necessarily condemn the issue. This is true not only of most high-grade railroad bonds and of many high-grade utility